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How OpenAI could keep top talent after its \$500B tender offer

By [Rosie Bradbury](#)

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OpenAI CEO Sam Altman | *Kevin Dietsch/Getty Images*

[OpenAI](#) is reportedly [running a tender offer](#) valuing the company at \$500 billion. The returns for employees stand to be enormous: OpenAI's 2021 tender offer valued the company at \$14 billion, translating to a 35x return over four years.

Could OpenAI become a victim of its own success if employees are suddenly so cash-rich they aren't incentivized to keep working? Probably not—for a few reasons.

Since stock options typically vest over four years, OpenAI employees won't be able to sell more recently granted shares. Plus, employees are typically only able to sell a percentage of their vested shares at one time.

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For early employees, liquidating even a percentage of their equity could be into the millions, if not tens of millions, depending on their seniority level and when they joined. But many of those early employees at OpenAI, who joined when it was a little-known nonprofit, aren't in it just for the cash.

Values vs. valuations

[Meta](#) CEO Mark Zuckerberg reportedly approached over 100 OpenAI employees, and only around 10 of those people [have jumped ship](#), despite Meta's compensation packages going well into the nine figures, according to The Wall Street Journal.

"So many of the people being approached are PhDs—they went into academia to solve big problems and make breakthroughs for humanity, not make a lot of money," said Camilo Acosta, GP at [Perceptive Ventures](#) and former generative AI product lead at Meta. Acosta added: "[Zuckerberg] is using pecuniary incentives for people who aren't wired for it."

Researchers' non-financial motivations are also clear in where those who are leaving are going. [Safe Superintelligence](#) and [Anthropic](#), both of which have declared a desire to put safety above all else, have recruited several high-profile researchers, particularly from OpenAI's superalignment team.

Related: [OpenAI has lost over 25% of its key research talent in the last 2 years](#)

Plus, tender offers can generate more buzz around a company's growth, and make employees feel like they'd be leaving money on the table if they left—a similar effect to if a company's stock is performing remarkably well. OpenAI is also [dangling offers of bonuses](#) in the millions of dollars to current technical staffers as a talent retention strategy, The Information reported.

Even if they wanted to, startup employees typically can't sell all of their shares at once in a tender offer.

"Typically, companies allow employees to sell around 20% of their total vested outstanding shares," said James Conroy, [Carta](#)'s director of private capital markets.

"If you have a major event like that, there will be things that have a tail," said Kanani Breckenridge, a headhunter at Kismet Search who works with a number of AI firms on recruiting. "You might get a payout where you can take some out immediately, but you would still be leaving some money on the table—so you're incentivized to stay and be part of something really world-changing."



About [Rosie Bradbury](#)

Rosie Bradbury is a senior reporter covering startups and venture capital for PitchBook News. Based in New York, she previously reported for the Bureau of Investigative Journalism, Business Insider and Wired. Rosie studied history and politics at the University of Cambridge.

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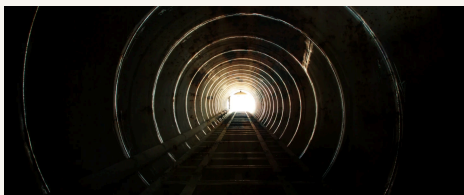
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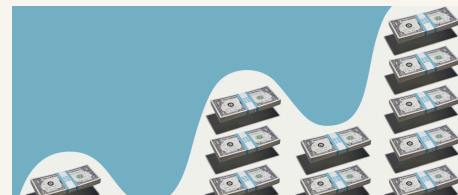


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